ESG **70/100** STRONG

EQUITY NOTE · MUSIC AND MEDIA · 1 NOVEMBER 2026

Universal Music Group

UMG NA · Euronext Amsterdam · ISIN NL0015000IY2 · Recorded music, music publishing and merchandising

After a 25% fall in July, a strong third quarter showed that subscription growth is back. The market still prices the shares as if the slowdown were permanent.

RATING

Buy

Target price	€21
Price (30/10/2026)	€17.09
Potential	+23%
P/E 2026E (adjusted)	16.8x

01 Investment thesis

We initiate on Universal Music Group (UMG) with a BUY rating and a target price of €21, 23% above the 30 October close of €17.09. On 29 October UMG reported adjusted EBITDA of €729m, 4.6% above consensus, and subscription growth of 9.5% excluding Downtown, against 8.2% expected. The shares rose 7.9% on the day, the best performance in the STOXX 600. They are still 27% below their level of a year ago.

Three reasons

- **The July scare looks like a pause, not a break.** Subscription growth excluding Downtown went from 6.7% in Q2 to 9.5% in Q3. Price rises under the "Streaming 2.0" contracts added slightly more than 3.5 points, and Apple's

recent rise will weigh more in Q4. Management also said that the market-share headwind eased in the quarter.

- **Cash generation is large and stable.** Operating cash flow less capex was €1.67bn in 2025, about 59% of adjusted EBITDA. Capex is only 0.6% of sales. At €17.09 the free cash flow yield is 5.4% and the dividend yield 3.0%.
- **The price asks for a lot of bad news.** Our base DCF gives €22.2. The price implies a discount rate of 8.6%, against our WACC of 7.3%. Even our bear case, where the margin never recovers, is worth €15.2, only 11% below the price. In April Pershing Square offered about €30.40 per share, and on 26 October Bloomberg reported early take-private talks with Apollo, TPG and Blackstone. We do not value a bid, but both show that financial buyers see more value than the market does.

> WHAT WOULD MAKE US WRONG
>
> Streaming platforms could win a lower share of each subscription, and AI music could dilute the royalty pool. Our bear case, where the margin does not recover and growth fades to 2%, gives €15.2, 11% below the price. Part of the Q3 beat came from price rises and from the Downtown purchase, not from new subscribers. Music publishing profit fell 3.5% in the quarter.

INDICATOR	VALUE	BASIS
P/E (adjusted)	16.8x	2026E adjusted EPS €1.02 (consensus €1.00)
P/E (adjusted, 2027E)	15.5x	2027E adjusted EPS €1.10
EV / EBITDA	13.7x	2026E EBITDA after share-based pay €2,636m; 12.4x on adjusted EBITDA of €2,899m
EV / Sales	2.68x	2026E revenue €13.45bn
Free cash flow yield	5.4%	2025 operating cash flow less capex, €1,669m
Dividend yield	3.0%	€0.52 per share, paid in two instalments

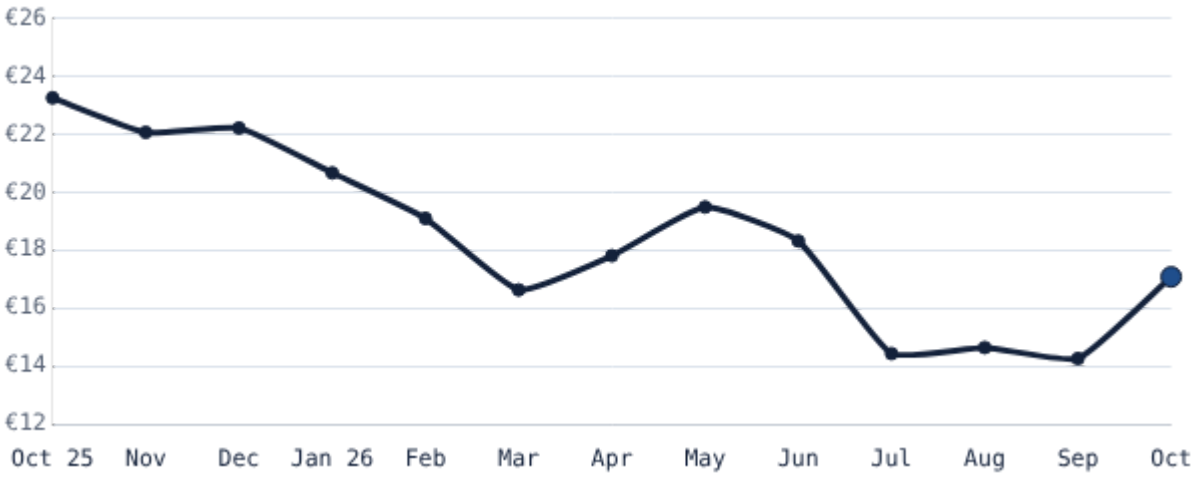
02 The surprise: subscription growth returns

The market had learned to fear the UMG results date. In July 2024 the shares fell about 23% on weak streaming growth. On 30 July 2026 they fell about 25% after Q2 subscription growth excluding Downtown slowed to 6.7%, and ended September at €14.27. On 29 October the quarter came in better than expected. Adjusted EBITDA was €729m against a consensus of €697m, and subscription revenue excluding Downtown grew 9.5%, against about 8.2% expected,

according to RouteNote. Adjusted EPS was $0.2509 against $0.2455 expected. Revenue of €3.39bn was in line.

The shares closed at €17.09 on 30 October, up 7.9% from €15.84, after an intraday high of €18.20. Three other points helped. Management said that the cost programme of €250m a year is complete and will add €35m to €45m in 2027. It expects new products, such as Spotify's AI tier, to add revenue from 2027. And on 26 October Bloomberg had reported that UMG held early take-private talks with Apollo, TPG and Blackstone. The CFO declined to comment on the reports.

Exhibit 1 **UMG share price, month-end closes (€)**



Yahoo Finance daily closes, Euronext Amsterdam. Last point: 30 October 2026. The fall in July followed the Q2 results; the rise in October followed Q3.

Q3 2026	Q3 2026	GROWTH	COMMENT
Revenue (€m)	**3,394**	**+11.7% cc**	**+5.3% excluding Downtown; in line with consensus**
Adjusted EBITDA (€m)	729	+9.0% cc	Consensus €697m; margin 21.5%, or 22.4% excluding Downtown
Subscription streaming (€m)	1,422	+19.2% cc	+9.5% excluding Downtown, against about 8.2% expected
Ad-supported streaming (€m)	387	+13.5% cc	+4.7% excluding Downtown
Physical (€m)	392	+17.4% cc	Vinyl and collectors' editions
Music publishing (€m)	590	+7.5% cc	+1.5% excluding Downtown; adjusted EBITDA €136m, −3.5%
Merchandising (€m)	248	−4.6% cc	Adjusted EBITDA €11m
Downtown (€m, revenue / adj. EBITDA)	195 / 13		Consolidated from 20 February 2026

cc = constant currency. UMG release of 29 October 2026 and Investing.com slides; consensus from Newsquawk and RouteNote. Sources differ on small points, such as the growth of ad-supported streaming; we use the release.

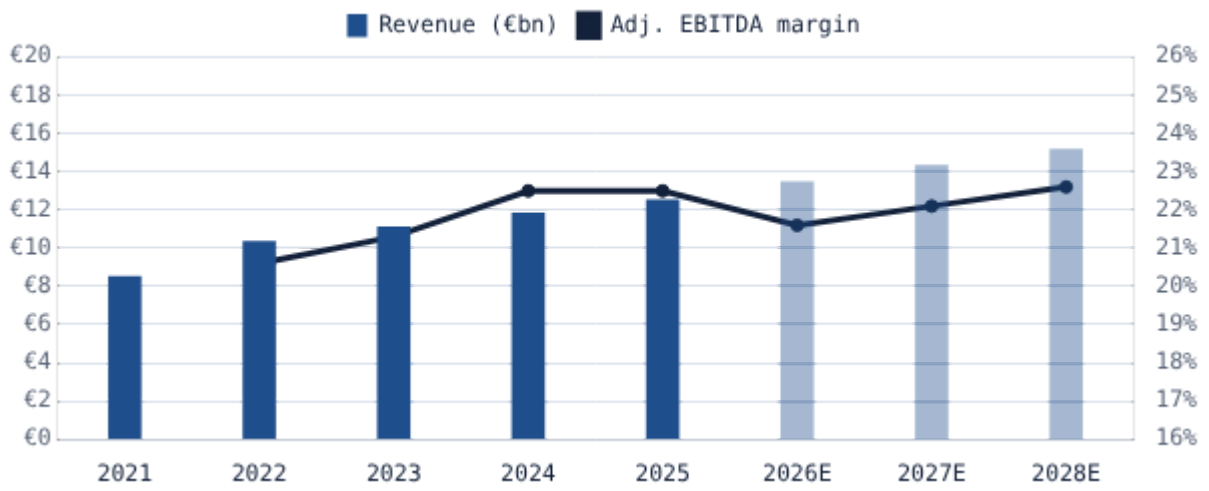
03 History and estimates

UMG was spun off from Vivendi and listed in Amsterdam in September 2021. Revenue rose from €8.5bn in 2021 to €12.5bn in 2025, a compound rate of 10%, helped by streaming, price rises and acquisitions. Adjusted EBITDA went from €2.1bn in 2022 to €2.8bn in 2025, and the adjusted margin from 20.6% to 22.5%. The company launched a cost programme of €250m a year in February 2024. In February 2026 it bought Downtown Music Holdings through its Virgin Music Group arm. Management called it the most important purchase since EMI. Downtown added €484m of revenue in the first nine months, at a margin of only 5.4%, which is why the group margin fell to 21.3% in that period from 22.5% a year earlier.

€M, EXCEPT PER SHARE	2021A	2022A	2023A	2024A	2025A	2026E	2027E	2028E
Revenue	**8,504**	**10,340**	**11,108**	**11,834**	**12,507**	**13,450**	**14,324**	**15,184**
Growth	n/a	+21.6%	+7.4%	+6.5%	+5.7%	+7.5%	+6.5%	+6.0%
Adjusted EBITDA	n/a	2,135	2,369	2,661	2,810	2,899	3,172	3,439
Adjusted EBITDA margin	n/a	20.6%	21.3%	22.5%	22.5%	21.6%	22.1%	22.6%
Operating income	1,435	1,646	1,446	1,941	2,135	n/a	n/a	n/a
Net income (reported)	886	782	1,259	2,086	1,533	n/a	n/a	n/a
EPS, adjusted (€)	n/a	n/a	n/a	0.96	1.03	1.02	1.10	1.20
Dividend per share (€)	0.40	0.51	0.51	0.52	0.52	0.52	0.55	0.60
Free cash flow (A: operating cash flow less capex; E: our FCFF)	1,127	1,699	1,838	1,664	1,669	1,704	1,878	2,048

A = reported (StockAnalysis, UMG releases), E = Puccetti Capital Research estimate. Adjusted EBITDA excludes share-based pay and integration costs. 2021 adjusted EBITDA and earlier adjusted EPS were not found in our sources. Reported net income moves with items below operating income, so we do not read it as a trend.

Exhibit 2 **Revenue (€bn) and adjusted EBITDA margin**



Key events and investments

- **2021:** listing in Amsterdam; revenue €8.5bn.
- **2024:** €250m cost programme launched in February; shares fall about 23% in July on slower subscription growth.
- **February 2026:** Downtown Music Holdings acquired; net debt rises to €5.0bn by June.
- **April 2026:** Pershing Square proposes about $64bn; Bolloré's holding rejects it on 27 May.
- **July 2026:** shares fall about 25% after Q2; press reports that UMG will sell half of its Spotify stake to fund buybacks.
- **October 2026:** Q3 beat; Bloomberg reports early take-private talks.

Our 2026E revenue of €13.45bn is in line with the consensus of €13.44bn. Adjusted EBITDA of €2,899m is the nine-month figure of €2,039m plus €860m for Q4, a rise of 6% on Q4 2025. In 2027 we assume revenue growth of 6.5% and a margin recovery as the cost programme and the Streaming 2.0 contracts feed through. Our 2027E adjusted EPS of €1.10 equals the consensus.

04 Cash flow and balance sheet

€M	2023A	2024A	2025A
Operating cash flow	1,885	1,755	1,739
Capex	−47	−91	−70
Free cash flow	**1,838**	**1,664**	**1,669**
Free cash flow / adjusted EBITDA	78%	63%	59%
Net debt, with leases	2,010	2,612	2,913
Net debt / adjusted EBITDA	0.85x	0.98x	1.04x
Goodwill	1,624	1,895	1,754

UMG needs very little capital. The cash conversion ratio has fallen from 78% to 59% in two years, mainly because more cash goes into artist advances and acquisitions of catalogues, which are not in capex. This is in the range of 60% to 70% that management quoted at the Q2 results. A press-release summary shows a lower 2025 free cash flow of €702m. We could not reconcile it with the cash flow statement and assume a narrower definition, so we use the statement.

Net debt, including leases, rose to €5.0bn at 30 June 2026 from €2.9bn at year-end. Downtown and the May dividend of about €0.5bn explain most of it; the sources do not give a split. On the last twelve months of adjusted EBITDA (€2.85bn, our calculation) this is 1.8x. The company reports net debt without leases: €2.39bn at end-2025. The Q3 balance sheet was not published, so we use the June figure in our equity bridge. Equity was €3.6bn, small because of past distributions.

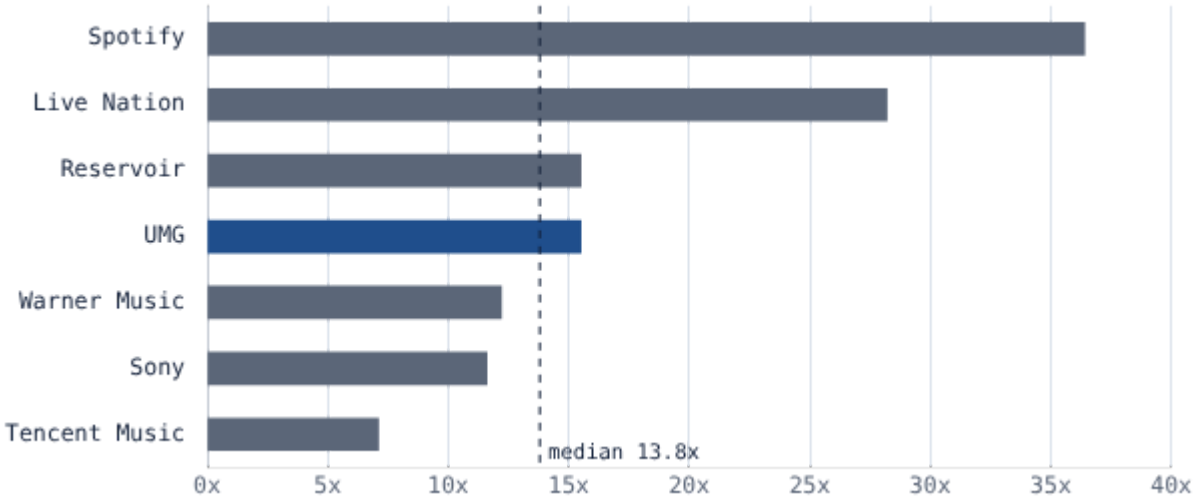
05 Trading comparables

COMPANY	COUNTRY	EV/EBITDA	P/E (FWD)	EV/SALES	DATE
Universal Music Group	**Netherlands**	**15.5x**	**15.8x**	**2.81x**	**30/10**
Warner Music Group	United States	12.2x	18.8x	2.78x	30/10
Sony Group	Japan	11.6x	18.5x	1.90x	30/10
Tencent Music	China	7.1x	8.7x	2.37x	30/10
Reservoir Media	United States	15.5x	70.5x	6.02x	30/10
Spotify	Sweden	36.4x	37.1x	5.36x	30/10
Live Nation	United States	28.2x	136.9x	1.66x	30/10
Median (six peers)		**13.8x**	**27.9x**	**2.58x**	

StockAnalysis statistics pages, last-twelve-month EBITDA and sales, consensus forward P/E. UMG: EV €36.0bn on last-twelve-month EBITDA of

€2.21bn as computed by StockAnalysis, which is after share-based pay and below the company's adjusted figure.

Exhibit 3 **EV/EBITDA, UMG against peers**



No listed company is a pure copy of UMG. Spotify and Live Nation are growth platforms, so their multiples are high. Reservoir is a small catalogue owner with very little earnings, which inflates its P/E. Tencent Music is cheap because of its Chinese listing and discount.

We therefore use the median EV/EBITDA of all six peers (13.8x) and, for earnings, the average forward P/E of Warner Music and Sony (18.5x), the two closest businesses. On 2026E EBITDA of €2,636m the median gives €17.3 per share, and 18.5x our 2027E EPS of €1.10 gives €20.4. UMG itself trades above the median on EV/EBITDA and below Warner Music on earnings.

06 DCF: Base, Bull and Bear

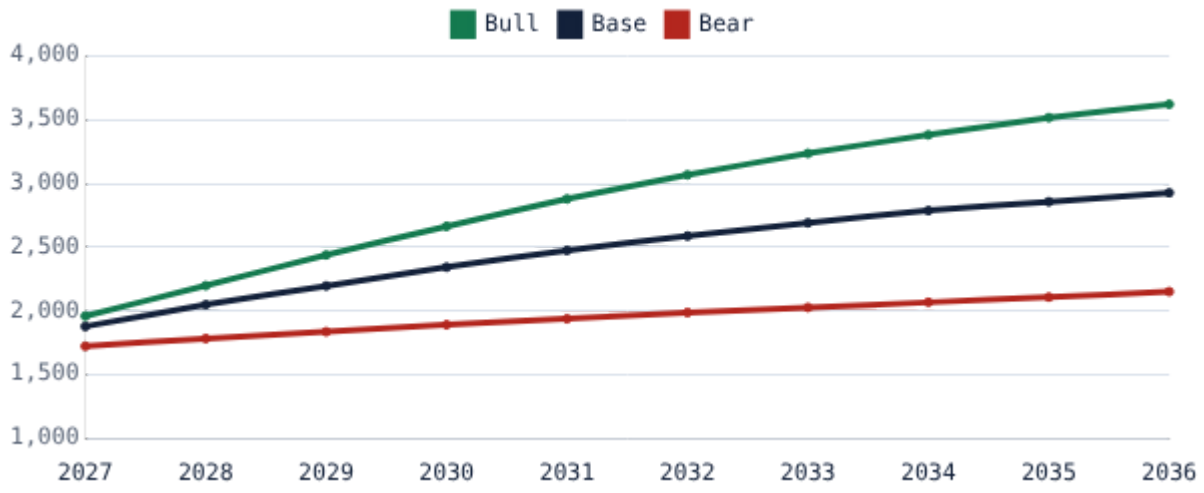
PARAMETER	VALUE
Risk-free rate (Dutch 10-year, latest reading found)	3.30%
Equity risk premium	5.50%
Beta (5-year 0.78, Blume-adjusted)	0.85
Cost of equity	7.99%
Cost of debt after tax (4.5% pre-tax, 25.8% tax)	3.34%
Weights equity / debt (market, debt with leases)	84.8% / 15.2%
WACC	**7.28%**
Equity bridge: EV / net debt / minorities	€45.2bn / €5.0bn / €0.02bn
D&A / capex and leases / other cash items	3.2% / 1.7% / 1.0% of sales

SCENARIO	GROWTH 2027-30	EBITDA MARGIN*	G	VALUE
Bear	3.0-3.5%	19.2%	1.5%	€15.2
Base	**5.0-6.5%**	**20.2% to 21.8%**	**2.0%**	**€22.2**
Bull	6.0-8.0%	20.7% to 23.8%	2.5%	€29.3

* EBITDA after share-based pay and integration costs, which is the cash-relevant measure. Adjusted EBITDA is about 2 points of sales higher. The risk-free rate is the Trading Economics reading of 3.33% on 23 July 2026; we found no later figure.

The model runs ten years, from 2027 to 2036, with mid-year discounting and a stub for the last two months of 2026. In the base case revenue grows 6.5% in 2027 and fades to 2.5% by 2036. The margin rises from 19.6% in 2026 to 21.8% in 2034, helped by the cost programme and by pricing. Free cash flow to the firm is 1.9bn in 2027 and 2.9bn in 2036, which is 59% to 60% of adjusted EBITDA, close to the bottom of management's range. Enterprise value is €45.2bn, of which 61% is terminal value. After net debt of €5.0bn the equity is worth €40.2bn, or €22.2 per share. The implied exit multiple is 12.7x EBITDA, below the peer median. Weighting the scenarios 25/50/25 gives €22.2 as well. The bear case implies an exit of 11.3x and the bull case 14.2x.

Exhibit 4 **Free cash flow to the firm by scenario (€m)**



Puccetti Capital Research estimates. The gap between bear and bull in 2036 is €1.5bn.

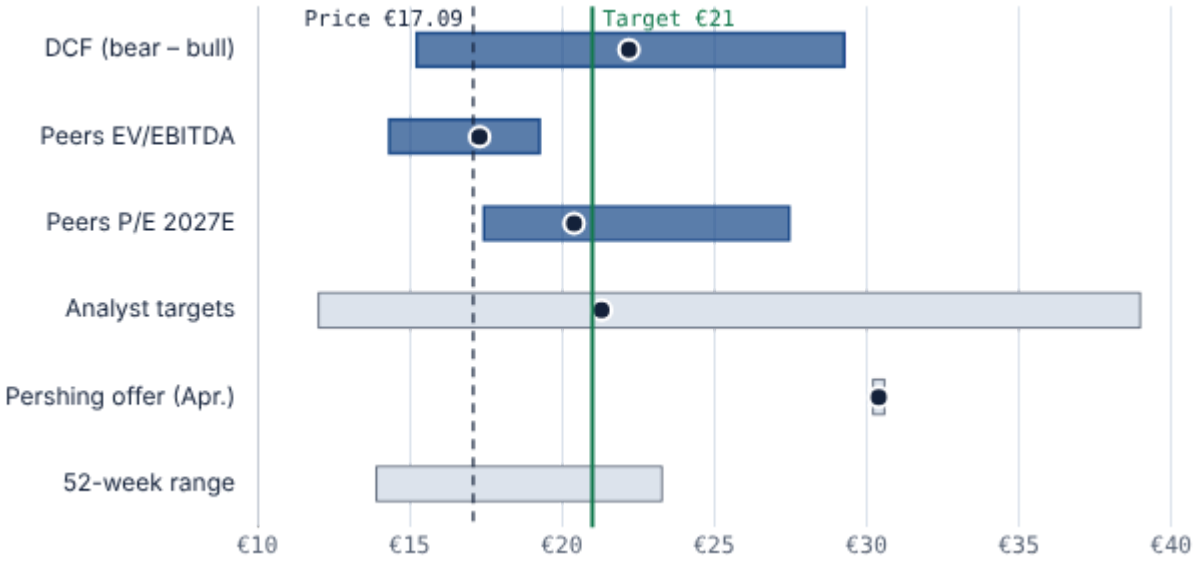
Exhibit 5 **Sensitivity: value per share (€) by WACC and terminal growth**

WACC \ G	1.0%	1.5%	2.0%	2.5%	3.0%
6.28%	24.0	25.8	28.1	30.9	34.6
6.78%	21.6	23.0	24.8	27.0	29.7
7.28%	19.6	20.8	**22.2**	23.8	25.9
7.78%	17.9	18.9	20.0	21.3	22.9
8.28%	16.4	17.2	18.2	19.2	20.5

The current price of €17.09 is reached with a WACC of about 8.6% at 2% growth. Our low beta gives a WACC below what many brokers use; at 8.3% the value is still €18.2.

07 Target price and recommendation

Exhibit 6 **Valuation range by method (€ per share)**



Bars: low to high. Dot: central value. Dashed line: price €17.09. Solid line: target €21.

METHOD	CENTRAL	WEIGHT	LOW	HIGH	POTENTIAL
DCF (base; low = bear, high = bull)	€22.2	60%	€15.2	€29.3	+30%
Peers EV/EBITDA (lower quartile 11.7x, median 13.8x, Reservoir 15.5x)	€17.3	20%	€14.3	€19.3	+1%
Peers P/E on 2027E (15.8x, 18.5x, 25x)	€20.4	20%	€17.4	€27.5	+19%
Dividend model (memo; cost of equity 8.0%, growth 3.5%)	*€11.6*	*0%*	*n/a*	*n/a*	*–32%*
Target price (weighted, rounded)	**€21**	**100%**			**+23%**

The weighted value is €20.8, which we round to €21. The dividend model is a memo only. UMG pays out about half of its earnings and keeps the rest for acquisitions, so a model built on dividends alone undervalues it. The multiples

method is the weakest of the three, because there are no close peers. The EV/EBITDA method gives the smallest gap and the DCF the largest, which is why we give the DCF a weight of 60%.

> RECOMMENDATION · BUY · TARGET €21
>
> Our target is close to the consensus. The 21 analysts tracked by StockAnalysis have an average target of €21.3, a median of €20 and a Buy rating; nine rate it Strong Buy and two Strong Sell. J.P. Morgan raised its target to €40 on 30 October, the high end of the range. Our view differs from the most bullish brokers on the margin: we assume a slow recovery. The Pershing Square proposal of €30.40 sits above our bull case, and we do not include any bid premium. We would turn neutral above €20 without higher estimates, or if subscription growth excluding Downtown fell back below 7%.

08 Risks and catalysts

Downside risks to our view

- **Platform pricing power.** The contracts with Spotify, Apple and others set UMG's share of each subscription. One point of EBITDA margin from 2028 is worth about €1.2 per share in our model.
- **AI music.** Management says AI uploads rose from about 10,000 a day in early 2025 to 90,000 to 100,000. Without protection in the platform contracts, fully AI-made tracks could dilute payments to real artists. UMG settled with Udio, but its case against Suno was at an impasse in April.
- **Publishing and merchandising.** Publishing profit fell 3.5% and merchandising earns a margin of only 4.4%.
- **Control and bids.** The Bolloré holding owns about 28% and has already rejected one bid. A take-private at a low price, or none at all, could remove the speculative support.
- **ESG.** Our ESG score is 70/100 (Strong): MSCI AA, Sustainalytics 12.4 (low risk), CDP B- (from a secondary source), less five points for royalty disputes with artists.

Catalysts

- **Full-year 2026 results, expected in early March 2027 (date not yet confirmed):** scope and financial targets of the next transformation phase to end-2028.
- **Q4 price rises.** Apple's recent increase should add more in Q4 than in Q3.
- **Spotify's AI tier and other new tiers:** management expects extra revenue from 2027.
- **Take-private news:** any approach would likely need the Bolloré holding's support.

Method and sources. Reported figures from UMG releases and StockAnalysis; Q3 consensus from press reports and may differ from other compilations. Estimates and the DCF are Puccetti Capital Research estimates. Peer data from StockAnalysis at 30 October 2026, not adjusted for accounting differences. Net debt is the 30 June 2026 figure including leases. Prices: Euronext Amsterdam close of 30 October 2026 via Yahoo Finance.

Disclosure. Academic exercise by Mattia Puccetti, BBA student at EDHEC Business School. The author holds no position in Universal Music Group. Not investment advice.

1. Q3 2026: UMG release · Investing.com slides · earnings call · Newsquawk, consensus · RouteNote, share move · Digital Music News
2. Context: Q2 2026 fall · July 2024 fall · take-private talks · Bolloré rejects Pershing Square · FY2025 results · FY2023 results
3. UMG statistics · financials · balance sheet · forecast · price history · Dutch 10-year yield
4. Peers: Warner Music · Sony · Tencent Music · Reservoir · Spotify · Live Nation
5. ESG: MSCI (MarketScreener) · Sustainalytics · CDP (Illuminem) · royalty disputes · emissions